

Web3 & The Identity Crisis

Is "Web3" Dead, or Just Growing Up?

By Samuel Je Christian · Web3 Corner Date: June 2, 2026

A Provocative Declaration

Yesterday, Kyle Samani posted two sentences that set crypto Twitter on fire:

[!IMPORTANT] "Web3 is dead. All we have is DeFi and DePIN."

Samani is not a fringe voice. He is one of the most respected investors in crypto — closely tied to Solana, Helium, and major infrastructure plays.

Hours later, Eli Ben-Sasson — co-founder of StarkWare, one of the most important ZK-proof builders — added his own observation:

[!NOTE] "Crypto seems to be going through an identity crisis."

Both comments surfaced on the same day that **Proof of Talk 2026** opened in Paris — 2,500 decision-makers, \$18 trillion AUM, focused entirely on institutional Web3.

So which is it? Is Web3 dead? Or is it just changing into something nobody expected?

What "Web3" Was Supposed to Mean

Web3 was coined as a vision: a decentralized internet where users own their data, their assets, and their identity — without relying on Google, Facebook, or Amazon.

The three-phase internet:

-  **Web1 (1990s-2000s): Read-only** Static websites. You consumed content.
-  **Web2 (2000s-now): Read-write** You could create content — but the platform owned it. Facebook owns your posts. Google owns your search history. You are the product.
-  **Web3 (2020s-): Read-write-own** You own your assets on-chain. No platform can take them. No company can deplatform you. The blockchain is the infrastructure.

That was the vision.

What Actually Happened

The "Web3" label got captured by hype.

- **2021-2022:** NFT JPEGs selling for millions. Celebrity tokens. Metaverse land grabs. Play-to-earn games with unsustainable economics. Bridges getting hacked for hundreds of millions.
- **The Result:** The public perception of "Web3" became associated with overpriced art, Ponzi schemes, and technology that doesn't work for normal people.

Most of that perception was earned. Most of those projects deserved to die. But something important happened underneath all the noise — and it's still happening: **The actual infrastructure kept building. And it works.**

What Survived — And Why

-  **DeFi:** Lending, borrowing, trading, staking — all without banks, all on-chain. Over \$51 billion in tokenized assets, with Hyperliquid processing volume that rivals Nasdaq. Battle-tested protocols like Aave, Uniswap, and Compound are generating real revenue.
-  **DePIN:** Decentralized physical infrastructure. Helium features 400,000+ hotspots, Hivemapper builds community maps, and Render Network provides GPU compute on-demand. Real hardware, real services, real revenue.
-  **Stablecoins:** \$300+ billion on-chain. Western Union is running on Solana, DoorDash is paying contractors via blockchain, the GENIUS Act has passed, and 20 banks are queuing to issue their own.
-  **Real World Asset (RWA) Tokenization:** \$51 billion on-chain, up 42% YTD. DTCC is building tokenized securities infrastructure, and Standard Chartered projects \$4 trillion by 2028.
-  **Layer 2 Infrastructure:** Ethereum gas fees are down 99%, Arbitrum runs at 40,000+ TPS, and Base commands millions of daily active users.

These are not Web3 experiments. These are functional financial infrastructure.

Why Kyle Samani Is Half Right

Samani's observation is directionally correct about one thing: **the original "Web3" vision of a decentralized consumer internet — replacing Google, Facebook, and Amazon — hasn't materialized.**

- Most people don't host their social media on a blockchain.
- Most content isn't on IPFS.
- Most logins aren't Web3 wallets.

The decentralized-everything vision hit real-world friction: UX problems, speed problems, cost problems, and basic human behavior — people don't switch platforms without overwhelming reasons.

Where Samani Is Wrong:

DeFi and DePIN are not all that's left. Stablecoins are reshaping global payments, RWA tokenization is bringing trillions on-chain, AI agents are defaulting to blockchain rails, and institutional infrastructure is being rebuilt on public blockchains.

These are not small categories. They represent the largest financial infrastructure shift in a generation.

The Identity Crisis — What It Actually Is

Eli Ben-Sasson identified something real:

[!TIP] Crypto started as a movement against institutions. Now, the biggest news is institutional adoption.

BlackRock has a Bitcoin ETF, JPMorgan predicts a \$13 trillion RWA market, DTCC is tokenizing securities, and Charles Schwab offers spot crypto trading. The institutions that crypto was built to disrupt are now its biggest adopters.

That creates genuine cognitive dissonance for people who joined crypto as a movement — not

as a financial product.

The identity crisis is real, but the resolution is also becoming clear: **Web3 didn't replace traditional finance. It became the infrastructure layer underneath it.** Just like the internet didn't replace physical businesses — it became the infrastructure layer underneath all of them.



What the Label Actually Matters For

In 2026, "Web3" as a consumer-facing label is arguably less useful than it was in 2021. Nobody says *"I'm going to use the TCP/IP network today."* They just open their browser. **The technology wins when it becomes invisible.**

- Stablecoins are winning because DoorDash doesn't market them as "Web3." They just work faster and cheaper.
- Tokenized assets are winning because BlackRock doesn't call their ETF "a Web3 product." They call it an investment product.

The label is fading. The technology is scaling. **That's not death. That's maturity.**



What Web3 Corner Is About — Revisited

This is article #41 on Web3 Corner.

The site isn't called "Web3 Corner" because the label is forever. It's called that because it's a corner of the internet dedicated to explaining what's actually happening in the decentralized economy.

Whether that's called Web3, DeFi, blockchain infrastructure, or just "finance" in 10 years doesn't matter. What matters is understanding the technology that is quietly reshaping how money moves, who owns what, and how trust works in a digital world.

That's what Web3 Corner is for. And that is very much alive.



The One-Line Summary

"Web3" as a label may be fading — but the infrastructure it represents is scaling faster than ever: DeFi generating real revenue, stablecoins settling trillions, RWAs tokenizing the physical world, and AI agents defaulting to blockchain rails.

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